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Formalization, Role Stress, Organizational Commitment, and Propensity-to-Leave: A Study of Korean Industrial Salespersons

Keun S. Lee
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ABSTRACT. This study of Korean industrial salespeople (N = 140) examines the relationships among organizational formalization, role stress, organizational commitment, and propensity to leave. Although most of the theoretical and empirical research in this area was done in the United States, this study examines whether the same concepts could be applied to a culturally different salesforce. The results of the structural modeling analysis suggest that overall the model of job variables and propensity to leave developed in the U.S. could be applied to a Korean salesforce. However, some culture-related differences do exist in the nature of specific relationships. *[Article copies available for a fee from The Haworth Document Delivery Service: 1-800-342-9678. E-mail address: getinfo@haworth.com]*

INTRODUCTION

International sales management research has received little research attention despite its international marketing importance. Research on the linkage between salespersons' job behavior and performance has been richly documented in the U.S. However, few researchers examined the

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salesperson behavior in the international context and the work environment in which these salespersons operate. Only recently, a few studies addressed the important issues pertaining to work environment and job-related factors that shape foreign-based salespersons' behavior and performance (Agarwal 1993; Dubinsky et al. 1991; James and Hill 1995). Other sales-related research reported different sales management approaches (Apasu et al. 1987), patterns of managing a multinational sales force (Hill et al. 1991), and factors that affect the sales force choice in international market entry strategies (Schuster and Keith 1993).

Given the importance of the behavioral aspects of the salesperson, this study attempts to test the model of the relationships among formalization, role stress, commitment, and propensity-to-leave using a Korean sample of industrial salespersons. The effects of formalized procedures on salespersons' role stress, organizational commitment, and job outcomes (e.g., work alienation) have been empirically examined in the U.S. (Michaels, Cron, Dubinsky, & Joachimsthaler 1988; Ramaswami, Agarwal, & Bhargava 1993), and in the international context (Agarwal 1993). A few sales management researchers suggest increased formalization to enhance control over salesperson behavior and performance (Chonko 1986; Stephenson, Cron, & Frazier 1979). The importance of role stress consisting of role ambiguity and role conflict has also been widely cited in the sales management literature (Behrman & Perreault 1984; Michaels et al. 1988; Ramaswami et al. 1993). Previous studies have also shown that commitment is a good predictor of propensity-to-leave (Ingram & Lee 1990) and actual turnover (Lucas, Parasuraman, Davis, & Enis 1987).

Although most of the models in this area were developed in the United States, with the supporting research being carried out using American samples, it is usually assumed that the same models would have universal application. However, considering the fact that there are vast cultural differences among different countries, it is important to validate this assumption using samples from different countries. Korea has been selected for this study for several reasons. First, individuals in the United States and Korea work under the influence of different cultures. Korea, like its neighboring Japan and China, is a country that has maintained Confucian values, whereas the Judeo-Christian cultures dominate the United States and Western Europe (Lee and Green 1991). Confucian work culture stresses collectivism, as opposed to the individualism emphasized in the U.S. and Western nations. Second, Korea is also well known for its importance as a trading partner and a major market for many U.S. multinational firms. Third, the variables included in the model for this study are relevant to Korean samples. Korean companies maintained a tradition of formaliz-

ing operating procedures within the organization as an employee control mechanism, while commitment (or loyalty) is a core value of the Confucian culture. Dunung (1995) has stated that one of the major principles of Korean society throughout history has been "the importance of authoritarian centralized control" (p. 62).

FRAMEWORK AND BACKGROUND

The hypothesized relationships among the variables in the study are illustrated in Figure 1. In the framework, formalization is hypothesized to decrease Korean salespersons' role ambiguity, but to increase role conflict. All three variables of formalization, role ambiguity, and role conflict decrease the level of Korean salespersons' commitment which, in turn, reduces propensity-to-leave.

The paucity of research pertaining to formalization and salesperson behavior involving workers in foreign countries beyond the national boundary of the United States limits theoretical validity of hypothesized relationships among the variables in the study. Also, results on the findings of previous studies are hardly generalizable to workers in foreign countries, especially to Koreans who may be distinctively different culturally in the work place. Therefore, a literature review on both the U.S. and Korean business culture and motivational practices is provided here as a basis for the development of hypotheses.

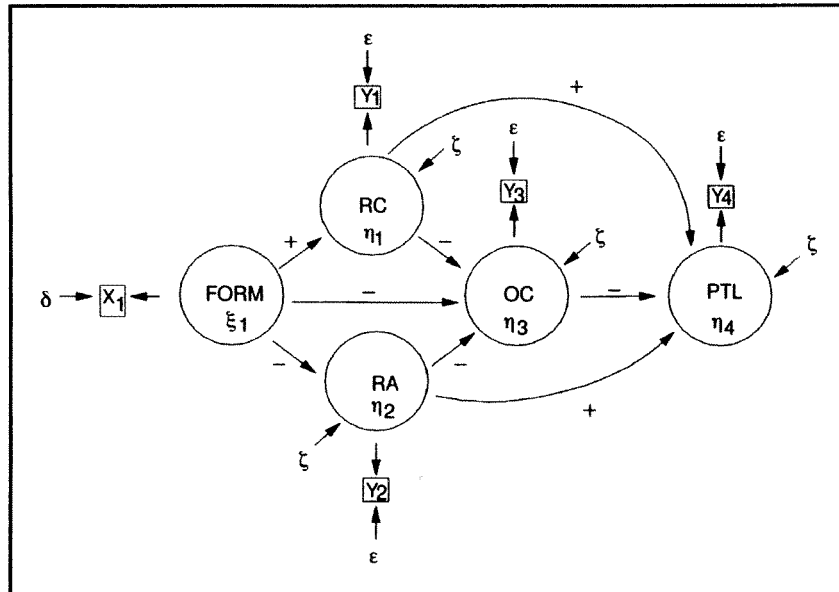
LITERATURE REVIEW AND HYPOTHESES

Formalization and Role Ambiguity

Despite some variations among different firms in terms of degree, many Korean employees expect to receive directives and orders from superiors without being consulted in some cases, and seldom challenge the authority of their superiors due to the Confucian belief stressing loyalty. Confucian values have been maintained in Korea for many centuries, and Koreans incorporate Confucius' teachings into their daily lives (Jacobs 1986).

Close control of marketing employees' behavior through formalized bureaucratic structuring has been previously hypothesized to reduce role ambiguity levels (Michaels et al. 1988; Ramaswami et al. 1993). While formalization is defined as the extent to which rules and procedures are formally specified (Ford & Slocum 1977), role ambiguity is the degree to which an

FIGURE 1. Hypothesized Relationships of the Study Variables



FORM - Organizational formalization

RC - Role conflict

RA - Role ambiguity

OC - Organizational commitment

PTL - Propensity-to-leave

X_1 - Summated score of 4 items from organizational formalization scale

Y_1 - Summated score of 8 items from role conflict scale

Y_2 - Summated score of 6 items from role ambiguity scale

Y_3 - Summated score of 15 item organizational commitment scale

Y_4 - Summated score of 3 item propensity-to-leave scale

Plus (+) and minus (-) signs indicate the nature of relationship

employee is unclear with respect to goals, methods, and consequences associated with job activities (Kahn, Wolfe, Quinn, & Snoek 1964).

The hypothesized linkage between formalization and role ambiguity in Figure 1 is consistent with the results reported by Michaels et al. (1988), but inconsistent with the findings of Ramaswami et al. (1993). Although both studies hypothesized a positive influence of formalization on role ambiguity, only the former (Ramaswami et al. 1993) reports a positive

influence, while the latter shows the opposite. The inconsistencies in the directions with respect to linkage between formalization and role ambiguity can be attributable to the different nature of samples used for the studies. For example, marketing employees used as a sample by Michaels et al. (1988), with their constant contact with supervisors, may be more negative toward explicit rules and rule observation practices than more independent-minded industrial salespersons, used by Ramaswami et al. (1993), with little direct supervision. The latter may need the presence of explicit rules, policies, and procedures to clarify roles in place of direct supervision. These explicit rules may help reduce conflict over competitive selling negotiations with customers and managers.

Korean industrial salespersons, a sample for the study, perform their boundary spanning roles under a different corporate culture compared to their American counterparts. Although these Koreans, like most American industrial salespersons, have to be away from supervisors quite often to call on industrial buyers to sell industrial products, they are paid in accordance with seniority. The value of individual achievement is discounted for the sake of the Confucian seniority system which emphasizes hierarchy and order. Therefore, Korean salary-based salespersons' reactions to formalization may be negative, and different from that of American salespersons who get paid in the form of individual or team incentives.

One more notable corporate culture in Korea which is uniquely distinguishable from that of many American companies is the surprising lack of job description concepts. The lack of job definitions can be attributable to Korean companies' job rotation practices which are designed to mold managers into generalists rather than specialists. These practices were largely borrowed from the Japanese way of running organizations; the underlying philosophical theme behind these practices is "Inhwa" (harmony) among all functional constituencies within the firm (Leppert 1987). In the absence of well-defined jobs and a quantifiable measure of job performance, Korean executives do not have many choices other than to use directives and to constantly check on the process and its results, while Korean salespersons may have to tolerate the insufficient amount of information to carry out their selling activities.

Regarding the linkage between formalization and role ambiguity, it is hypothesized that formalization will inversely influence Korean salespersons' role ambiguity.

Formalization and Role Conflict

In addition to the lack of role clarity, salespeople can experience role conflict in the form of incompatible expectations from customers (e.g.,

discounts) and superior (profit margin). Study results pertaining to the effect of formalization on role conflict are mixed. While some research has found a positive relationship (Michaels, Day, & Joachimsthaler 1987; Michaels et al. 1988), other have shown a negative relationship (Nicholson & Goh 1983; Podsakoff & Organ 1986).

Under a rigid formal control environment, a salesperson has little freedom in bargaining prices and delivery dates. Many difficult situations can be created between customers and salespeople, and these conflicts should be resolved by managers in the headquarters. The more formal and centralized the decisions made, the more salespeople may become susceptible to the feelings of powerlessness and frustration serving customers in the field. Korean salespeople are not exceptions to this phenomenon. Since the harmonious relationship (e.g., "inhwa") (Leppert 1987) and trust are so much valued and campaigned in the business culture of Korea, any face-losing situation where a salesperson has to say "no" to long-acquainted customers, due to the addition of explicit rules and procedures, creates embarrassment to all parties. Therefore, it can be hypothesized that formalization will positively influence Korean salespersons' role conflict.

Formalization and Commitment

The linkage between formalization and commitment is also mixed. Commitment is defined in terms of the extent to which an employee identifies with an organization (Porter, Steers, Mowday, & Boulian 1974). Highly committed employees tend to have a (1) strong belief in the organization's goals and values, (2) willingness to exert considerable effort on behalf of the organization, and (3) strong desire to maintain membership in the organization (Morrow 1983). Some researchers have found a positive relationship between the two variables (Greene 1978; Michaels et al. 1988; Morris & Steers 1980), and others have shown a negative relationship (Ramaswami et al. 1993). In a recent cross-national research, rule observation (formalization) had a favorable influence on the commitment of salespersons in India (Argawal 1993). Regarding the relationship between formalization and commitment, however, Michaels et al. (1988) have found that the linkage is indirect, rather than direct, through role ambiguity and role conflict.

What would rigorously-formalized sales control do to the loyalty of a company's salesforce? Would tight control with frequent directives and procedures help the disloyal or the neutral turn into loyal and committed salespersons or vice versa? Previous studies indicate that employee satisfaction and commitment are linked positively. In other research, the negative relationship between formalization and satisfaction is well docu-

mented. From the previous findings, it can be posited that the more formalized the salesforce control system, the less satisfied salespersons become, which in turn lowers the overall level of commitment to the firm.

Korean business executives expect and nurture employees' loyalty to the firm in exchange for long-term job security and traditional group maintenance practices, such as group bonus and team building. Until recently, a military-style rigid system represented Korean firms' most common employee control mechanism; loyalty was taken for granted or naturally expected by offering salaries and long-term job security (Mente 1989). According to Confucius, order and hierarchy should be restored by teaching people the virtue of respect for seniority and loyalty to the ruler. Discipline and rigid control were inevitable means used to achieve the ends (e.g., order and loyalty). Many dictatorships survived until the late 1980s, decades after Korea's independence in 1945 from Japanese colonialization.

Although the top-down directives and military order-style might help restore a sense of authority and hierarchy among some Korean employees and motivate them to act, the excessive use of the formal mechanism can and often does hurt the pride or "kibun" (one's important feeling) of many Korean workers. In Korea, great care is taken to avoid having others' "kibun" hurt in any way, and criticisms are often toned down or withheld to save "kibun." "Kibun" for Koreans is as important as "face" in human relations, and extreme emotion, and in some cases violence, erupts when "kibun" is hurt (Leppert 1987). Some Westerners find Korean business people emotional and intuitive, rather than rational, and employees' loyalty to the company can be broken more for emotional reasons than for rational reasons. The harsh top-down control on employee behavior can hurt Koreans' "kibun," and dissatisfied workers can break the code of ethics regarding loyalty and hierarchy (Leppert 1987). Based on the preceding discussion, we hypothesize that formalization will negatively influence Korean salespersons' commitment.

Role Stress and Commitment

Role ambiguity and role conflict are the two major role stress variables adopted in sales management literature. The dysfunctional effect of these variables on commitment has been previously documented (Michaels et al. 1988; Ramaswami et al. 1993).

The relationship between role stress variables and commitment has also been richly documented in industrial psychology literature. Higher role ambiguity clouds an employee's understanding of how to achieve corporate goals and, thus, reduces commitment to the firm. In the same vein,

more conflicting expectations and incompatible demands from managers and customers (higher role conflict) precipitates the tendency of an employee to alienate psychologically from the firm. Empirical support for the negative correlations for both role ambiguity and role conflict with commitment is abundant (Jackson & Schuler 1985; Johnston, Parasuraman, Futrell, & Black 1990; Mathieu & Zajac 1990; Michaels et al. 1988; Salancik 1977).

The argument for the negative relationship between role stress and commitment can be found in the fact that salespersons with unclear goals and corporate values expend less effort on work activities than those who understand roles clearly. Porter et al.'s (1974) definition of commitment includes a strong belief in the firm's goals and values.

Role ambiguity and role conflict are salient issues for many Korean companies which do not provide their salespersons with clear job descriptions. Written rules give way to intuitive judgments, and often directives and temporary rules subject to change when new superiors take positions. In the same vein, incompatible expectations from customers (e.g., delivery speed) and managers (e.g., delivery cost reduction) can create an embarrassing environment where a salesperson, for example, can lose face. Under the circumstance, Korean salespersons' "kibun" can be hurt and, subsequently, the level of commitment decreases. Korean salespersons' loyalty to a firm can only be maintained when their "kibun" is not severely damaged. Based on the discussion, we hypothesize that Korean salespersons' commitment will be negatively influenced by both role ambiguity and role conflict.

Commitment and Propensity-to-Leave

Value of commitment as a construct can be found in its predictive power of propensity-to-leave and actual turnover (Ingram & Lee 1990; Johnston et al. 1990; Lucas et al. 1987). The negative linkage between commitment and propensity-to-leave has been reported in previous sales-force literature (Ingram & Lee 1990; Johnston et al. 1990). It is widely believed that salespeople who are highly committed are less likely to leave their employer.

Despite the paucity of commitment research involving Korean salespersons, it can be posited that a reduction in loyalty to the firm, caused by a series of undesirable experiences within the firm, will precipitate a salesperson to think about quitting. This notion can be supported by the fact that many large Korean firms, including the firm participating in this study, reward their salespersons with salary and group bonus for their performance with a view to fostering "inhwa" among salespersons (Lep-

pert 1987). While the Korean firms' incentive system is not quite instrumental for the successful motivation of the Korean salespersons, salespersons' loyalty can be depended upon as a tool for motivating and retaining productive salespersons. Based on the preceding discussion, it is expected that commitment will negatively influence Korean salespersons' propensity-to-leave.

Role Stress and Propensity-to-Leave

The rationale behind an argument for a direct relationship between role stress and propensity-to-leave comes from the fact that stressful conditions create psychological distraction and discomfort (Michaels et al. 1988), or depression, a sense of futility, lower job involvement, and psychological withdrawal from a group (Brief & Aldag 1976). Salespersons with stressful role ambiguity and role conflict can be alienated from selling jobs (Ramaswami et al. 1993) which may increase thoughts of quitting.

Previous studies in the U.S. report that the more committed salespersons are, the less likely they consider quitting the selling job (Ingram & Lee 1990; Johnston et al. 1990). Since role stress and commitment are negatively related (Michaels et al. 1988; Ramaswami et al. 1993), it can also be hypothesized that salespersons with high levels of role stress are less likely to consider quitting than those with low levels of role stress.

Korean salespersons' lack of knowledge necessary for selling to and serving customers (role ambiguity) can put them in a situation where they lose face for their lack of preparation in dealing with customers. In the same vein, severe stress coming from the need to compromise between the bargaining mentality of Korean customers, and often iron-faced Korean supervisors (role conflict), can hamper keeping the "kibun" in good order among the parties involved. If the "kibun" is damaged, relationships can be cut off and even an enmity can be created (Harris & Moran 1991). Face-saving, an important Confucian concept practiced in business and social customs in many Asian countries, is a prerequisite to maintaining membership with the firm (Chesanow 1985). The preceding discussion provides a basis for the hypothesis that both role ambiguity and role conflict will positively influence Korean salespersons' propensity-to-leave.

METHODOLOGY

Sample and Data Collection

Unlike in the U.S., getting a mailing list of industrial salespeople in Korea is a difficult task. A few global Korean firms manufacturing indus-

trial goods were contacted for the research, and a leading Korean rubber company agreed to participate. This rubber product firm was selected since the firm is well known among Koreans for its "very traditional and bureaucratic" management style. This type of style typifies many "chaebol" (giant) Korean conglomerates that do business globally. Salespersons working under such work culture may be more susceptible to the influence of formalization and role stress due to their lack of autonomy on the job.

One hundred fifty salespersons employed by the firm were surveyed for the study. The participating company currently employs approximately five thousand workers, and grosses about one billion dollars in sales volume globally. These salespersons sell rubber products to dealers and large industrial buyers; they do not sell directly to final consumers.

The company's market research department staff contacted and distributed a questionnaire to each member of the 150-member salesforce. Confidentiality was guaranteed in writing on the cover page of each questionnaire by instructing participants not to reveal their identities, and to return their responses directly to the outside researcher from a medium university in the northeastern region of the U.S. Respondents were assured that their responses would only be used for statistical analyses. One hundred forty responses were usable; there were eight nonresponses, and two incomplete responses, thus yielding a 93.3% response rate.

The average age of the respondents was 30 years, and 95% of them were less than forty years old. The average tenure of the respondents with the firm was five years (60 months), and 40% of them had stayed less than three years with the firm. About half (50.7%) of the respondents were married, and 95% of those married had at least one child. While 20% of those who had at least two years of college, 50% actually had completed college, and 47% had only a high school diploma. All of the surveyed salespersons were male, and 80% of the respondents were mainly involved in outside selling assignments (e.g., frequent customer calls and delivery of products). It is quite rare in Korea that females are recruited for outside sales assignments for heavy rubber products.

Measurement

The method of translation and back-translation was utilized to develop measures for the Korean sample. Measurement scales of all five variables used to test hypotheses were adopted from those measures used in American studies. While formalization measure was modified slightly to be tailored to the unique Korean sales job environment, the other four variables of role ambiguity, role conflict, commitment, and propensity-to-leave were adopted from American literature.

Formalization was measured on a 4-item scale adapted from a scale developed by Aiken and Hage (1966). The 4-item scale used for the study measures the degree to which rules are prescribed and enforced. Three items were adopted from the 7-item scale of Aiken and Hage (1966) without modification, while one item was developed specifically for Korean salespersons; this item was selected and added to the scale based on the results of focus group interviews with Korean salespersons. During the interview, seven salespersons were given seven items of Aiken and Hage's (1966) scale, and were requested to select the most appropriate items for the Korean sales job environment. Korean interviewees selected three items from among the seven items given, and added one more item which was not represented by the seven items on the scale they were provided.

Role ambiguity and role conflict were measured using Rizzo, House, and Lirtzman's (1970) six and eight items, respectively. Among role stress measures, these measures are currently the most widely used in marketing literature.

Organizational commitment of Korean salespersons was measured on the 15-item Organizational Commitment Questionnaire (OCQ). Developed by Porter et al. in 1974, this measure was widely utilized by many researchers of sales management in the United States (Ingram, Lee, & Skinner 1989; Johnston et al. 1990; Michaels et al. 1988).

According to Randall's (1993) review of cross-cultural research on organizational commitment, the 15-item OCQ is "by far the most popular instrument for measuring organizational commitment" (p. 102). Randall (1993) further reports that the OCQ was once used with Korean workers (Luthans, McCaul, & Dodd 1985).

The 3-item propensity-to-leave measure was obtained by asking respondents the extent to which they were seeking to change firms (going to another company), jobs (from selling to nonselling), and supervisors. While a one-item propensity measure was utilized by a few previous studies of salesperson turnover (Busch 1980; Futrell & Parasuraman 1984; Johnston, Futrell, & Sager 1987), a multiple item propensity-to-leave measure was used by other researchers (Ingram & Lee 1990; Jackofsky & Peters 1983). A strong relationship between intentions and actual turnover behavior has been reported previously (Johnston et al. 1987).

Analysis

The first step in the analysis was to establish the reliability of the measures. Reliability coefficients for all the scales used in the study are given in Table 1. The reliabilities for all the scales, except for that of role conflict, were in the acceptable range. Considering the fact that these

TABLE 1. Scale Reliabilities

Construct	Reliability (α)
Organizational Formalization (FORM) (4 items)	.70
Role Conflict (RC) (8 items)	.58
Role Ambiguity (RA) (6 items)	.67
Organizational Commitment (OC) (15 items)	.90
Propensity to Leave (PTL) (3 items)	.72

scales were developed for an American sample and translated and applied to the Korean sample, the reliability of even the role conflict scale appears to be acceptable.

The data was analyzed using LISREL 8 (Jöreskog & Sörbom 1993a). Preprocessor to LISREL, PRELIS 2 (Jöreskog & Sörbom 1993b) was used for data screening and for the computation of correlation matrix used in the analysis. Although the initial sample contained 140 responses, the listwise deletion method used for the computation of correlation matrix reduced the sample size to 133. According to the generally accepted guidelines, this sample size is more than adequate for testing the model (cf. Bagozzi 1980; Gerbing & Anderson 1985).

Since the scales used to measure the variables had a large number of items, the scores were summed to represent a single indicator of the construct. Thus, scores for the 15 items used to measure commitment were added, and this score was used to represent a single indicator for commitment indicator. Similarly, summated scores for four items represented a single indicator for formalization construct; summated scores for eight items for role conflict scale represented a single indicator of that construct, summated scores for six items measuring role ambiguity represented a single indicator of that construct, and summated scores of three items measuring propensity-to-leave represented a single indicator of this construct. Using such single indicator for each construct is consistent with past efforts (e.g., Price, Arnould, & Tierney 1995). Also, in line with normally accepted practice, the error terms for all indicators were fixed at 1-reliability ($1-\alpha$) to account for measurement error.

Evaluation of the overall fit of the model was based on multiple indica-

tors as suggested by Bagozzi and Yi (1988). These multiple indicators suggest that the model fits nearly perfectly. Chi-square was 0.97 (df = 2, $p = .62$), Goodness of fit index was 1.00, AGFI was .98, Bentler and Bonett's (1980) normed fit index was .99. Furthermore, root-mean square residual was .012. Table 2 gives the parameter estimates and the t-values obtained by maximum likelihood estimation.

RESULTS AND DISCUSSION

The hypothesized model in Figure 1 suggested that formalization will be negatively related to role ambiguity. This hypothesis was not supported by the data (maximum likelihood estimate = .29, t -value = 2.27). The results of the analyses showed that formalization increased, rather than decreased, the level of role ambiguity. The second hypothesis suggested that formalization will be positively related to role conflict. This hypothesis was supported by the data (maximum likelihood estimate = .72, t -value = 3.60). The model also suggested a negative effect of formalization on commitment. This hypothesis was not supported by the data (maximum likelihood estimate = .06, n.s.).

TABLE 2. Parameter Estimates for the Structural Model

Parameter	MLE	Standard Error	T-Value
λ_x	.84	.07	11.44
λ_{Y_1}	.77	.14	5.56
λ_{Y_2}	.82	.08	10.42
λ_{Y_3}	.95	.09	11.06
λ_{Y_4}	.85	.12	6.85
γ_{11} (FORM $\rightarrow$ RC)	.72	.20	3.60
γ_{21} (FORM $\rightarrow$ RA)	.29	.13	2.27
γ_{31} (FORM $\rightarrow$ OC)	.06	.22	0.25
β_{31} (RC $\rightarrow$ OC)	-.50	.23	-2.19
β_{32} (RA $\rightarrow$ OC)	-.23	.11	-2.08
β_{41} (RC $\rightarrow$ PTL)	.23	.14	1.66
β_{42} (RA $\rightarrow$ PTL)	.41	.13	3.06
β_{43} (OC $\rightarrow$ PTL)	-.41	.14	-3.05

Note: Error terms for all indicators were fixed at $(1 - \alpha)$

$\chi^2 = 0.97$ (df = 2, $p = .62$), GFI = 1.00, AGFI = .98, RMSR = .012;
Normed fit index = .99

According to the model, role conflict was expected to be negatively related to commitment. This hypothesis was supported by the data (Maximum likelihood estimate = $-.50$, t -value = -2.19). As expected, role ambiguity was negatively related to commitment (maximum likelihood estimate = $-.23$, t -value = -2.08).

The model (Figure 1) also suggested that commitment was negatively related to propensity-to-leave. This hypothesis was also supported by the data (maximum likelihood estimate = $-.41$, t -value = -3.05). The hypothesized model also suggested a direct influence of role ambiguity on propensity-to-leave. This hypothesis was supported by the data (maximum likelihood estimate = $.41$, t -value = 3.06). Finally, the hypothesized model suggested a positive relationship between role conflict and propensity to leave. This hypothesis was not supported by the data (maximum likelihood estimate = $.23$, n.s.).

The results reported above pertain to the interrelationships among formalization, role ambiguity, role conflict, commitment, and propensity-to-leave using Korean industrial salespersons as a study sample. Using Korean industrial salespersons as the study sample, this study has found that formalization affects role ambiguity and role conflict (role stress) positively, while it does not affect commitment. This study has also found the negative effects of role ambiguity and role conflict on Korean salespersons' commitment. Korean salespersons' propensity-to-leave has been found to be affected negatively by commitment and positively by role ambiguity. Role conflict did not affect propensity-to-leave.

Overall, the surprising similarities between Korean salespersons and their American counterparts sampled in previous studies (Agarwal 1993; Ramaswami et al. 1993) can be found in the results of the data analyses with respect to the interrelationships among job variables adopted for this study. These results suggest that a model of American salespersons' formalization is fairly robust and might be applied to salespersons in other countries where a different organizational culture (e.g., salary payment) shapes the minds of the salesperson.

A few surprises, however, do exist in the findings of the study. For example, Korean industrial salespersons' formalization has been found to affect role ambiguity positively; this is contrary to the hypothesized direction. This finding implies that the direct impact of formalization on role ambiguity of salespersons is similar for both for Americans and Koreans. Then, the question is, "why the coded instructions and formalized job observation that are intended to decrease Korean salespersons' role ambiguity increase it instead?" For the American sample, explanations do already exist in some sales management literature. The literature explains

that a high degree of formal specification of their activities imposed on salespersons creates greater role stress, including role ambiguity, since a complex nature of boundary-spanning positions (e.g., salesperson) does not lend itself to easy codification of jobs without numerous exceptions (Behrman & Perreault 1984; Ramaswami et al. 1993). Rules, procedures, and methods for salespersons need to be continually redefined due to their participation in the exchange process involving customers, competitors, and managers.

The positive relationship between formalization and role ambiguity identified for Korean salespersons in this research appears to be related to a unique Korean work culture. Korean salespersons who get paid a fixed compensation in the form of salary may view the increase in the explicit rules and supervision as an extra burden on their endeavors to maintain good relationships with customers ("In-hwa" culture), and an added confusion to their complex roles on the job. Although job specification and behavioral codes may be beneficial for other job types, the multinational company's attempt to formalize salespersons' work rules and procedures as a part of globalization strategy can become dysfunctional for both the American and Korean salesforce.

The absence of the significant relationship between formalization and Korean salespersons' commitment is also an issue of discussion. Previous studies have documented significant relationships between these two variables for both American and Indian salespersons. While the American sample manifested a positive relationship, the Indian sample showed the opposite (Agarwal 1993; Michaels et al. 1988). The answer for the "no linkage" between the two variables for the Korean sample can possibly be found in the concept of "loyalty" that is a social norm cultivated in a Confucian culture. Commitment to the firm may not be altered by the direct influence of rule codes and strict rule observation.

IMPLICATIONS

As multinational firms move into foreign markets, sales organizations become multicultural. This multicultural phenomenon necessitates global managers to consider recruiting and managing host country nationals. To adapt to the increasing need for managing host country national salespersons, global marketing managers cannot have ethnocentric views about global sales management practices. The findings of the present study offer managerial and future research implications pertaining to the salesperson management in "culturally distant" countries.

Our findings suggest that formalization as bureaucratic means of control

has deleterious impact on Korean salespersons' role perception. Global managers managing salespersons in "internally homogeneous" countries, such as Korea, Japan, and Taiwan, may have to take into account the inefficiency associated with the utilization of authoritarian leadership as a control mechanism (Sohn 1994). Under the authoritarian management, Korean salespersons, unlike their Japanese counterparts with group-based behavioral orientations, may start searching for better opportunities and quickly terminate their contractual relationship with the employer. Korean workers' are known for their individualistic orientations (Dubinsky et al. 1992).

The absence of significant linkage between perceived formalization and commitment does not imply that a similar relationship might hold true toward a "foreign" employer in Korea. It is likely that other variables like nationalistic feelings might play a role in such situations. However, it is an important issue of interest to foreign companies interested in doing business in Korea, and future researchers might investigate the issue.

The detrimental effect of role stress on commitment and propensity-to-leave for a foreign sales force necessitates managers to create and maintain a sales environment where host country salespersons experience a moderate level of role stress. It is well known that many Korean firms, large and small, do manage their employees including salespersons without clear job descriptions (Leppert 1987). Given the fact that the negative impact of role stress on commitment is stronger for Korean salespersons than for American counterparts (Dubinsky et al. 1992), managerial interventions should be made to decrease Korean salespersons' role conflict and role ambiguity. Job descriptions and extensive in-house and on-the-job training pertaining to products, customers, and selling skills can help Korean salespersons enhance role clarity, whereas the elimination of unrealistic rules and the mentoring program designed to enhance interaction between managers and subordinates will help reduce role conflict. In Korea, "In-hwa" (harmony) on the organizational level, and "Kibun" (personal feeling) on the individual level, should be carefully monitored and maintained by managers since the destruction of these leads to the loss of commitment and a subsequent search for better jobs. If any rules and procedures are viewed as "confusing" to the Koreans who have to struggle with many uncertainties on the job due to the lack of clear job descriptions, the deleterious impact of the role ambiguity of Korean salespersons will cause a decrease in loyalty and salesperson retention.

The present study has some limitations and leaves room for future research. Although the tested model is a replication of previous studies involving American and Indian samples, this research surveyed only the

Korean sample. Future studies need to include additional countries in the Confucian culture, due to the variations of behavioral orientations among the workers in the similar Confucian culture. For example, Japanese workers are more consensus oriented than Koreans who are rather individualistic in their employee orientation (Kotabe et al. 1992). However, since Korean companies' corporate cultures are similar to those of the Japanese in many other aspects, the findings of this study help us hypothesize that the Japanese salesforce will exhibit similarity in the relationships among the variables included in the tested model.

Another limitation that is worthwhile to note is the selection of one industry (rubber product) for the sample. It is, therefore, hoped that future research will attempt to replicate this study with different job types. For example, retail salespersons may react differently to formalized supervision when compared to industrial salespersons. Without the inclusion of other sales job types, the external validity of the findings will be limited.

In all, the present study has served its purpose if it stimulated research effort toward understanding global salesforce behavior.

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